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Study Notes

Economy- Introduction

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Introduction

Economics is a social science that focuses on the production, distribution, and consumption of goods and services, and analyses the choices that individuals, businesses, governments, and nations make to allocate resources.

Humans have unlimited wants but we have limited means in this world. The study of economic helps us to analyse how resources are allocated for production, distribution, and consumption.

Again, the study of economics can be of two types- Microeconomics and Macroeconomics. The study of microeconomics focuses on the choices of individuals and businesses, and macroeconomics concentrates on the behaviour of the economy as a whole, on an aggregate level.

ADAM SMITH: A Scottish professor (born 1723, died 1790) who is considered the father of modern economics for his revolutionary book, entitled 'An Inquiry into the Nature and Causes of the Wealth of Nations' published in 1776.

Difference between Macroeconomics and Microeconomics

	Microeconomics	Macroeconomics
Meaning	It is the study of issues and problems at the level of an individual firm, an individual household etc.	It is the study of issues and problems at the level of the economy as a whole.
Concern	determination of output and price for an individual firm or industry	determination of aggregate output and general price level in the economy as a whole.
Focus	maximisation of individual's gain	maximisation of social welfare
Scope	Narrow Scope as it is based on Individuals	Wide Scope as it is based on country as a whole

Factors of Production

In economics, factors of production are the resources people use to produce goods and services; they are the building blocks of the economy. Economists divide the factors of production into four categories: land, labour, capital, and entrepreneurship.

Land:

The first factor of production is land. However, in economics, by land, we mean all that is given to us free by nature. This includes not just land, but anything that comes from the land. Most of the natural resources like soil, water, forests, minerals, petroleum, sunlight, wind etc come under the category of land – the first factor of production.

Labour:

All human effort that assists in production is labour. This effort can be mental or physical. It is a human factor of production. It is the worker who applies their efforts, abilities, and skills to produce.

Capital:

Capital includes all the man-made resources used for producing goods and services like buildings, machines, equipment, vehicles, stock of materials etc. Capital denotes all tools humans use to produce goods and services.

Entrepreneurship:

Only those with knowledge and entrepreneurial skills will be able to put together land, labour and physical capital and produce an output. Thus, the fourth factor of production is entrepreneurship. These days, entrepreneurship (the knowledge and skillset) is also known as Human Capital.

Unless somebody takes an initiative, no business can be started. The one who takes this initiative is termed an entrepreneur. An entrepreneur is a person who combines the other factors of production – land, labour, and capital – to earn a profit.

Factor Payments:

Factor payments are frequently categorized according to the services of the productive resource.

- Wages are paid for the services of labour.
- Interest is the payment for the services of capital
- Rent is the payment for the services of land.
- Profit is the factor payment to entrepreneurship.

Economic Agents:

Economic agents are actors who intervene in the economy under certain rules determined by the economic system and economic institutions. They make decisions trying to resolve an optimization or choice problem. In this process, they mould the economy; for example, they decide the distribution of goods and services, taxes, laws, tariffs, etc.

Economic agents are categorised into 4 types: households, firms, government and “the rest of the

world”.

Households:

All those people living under one roof are considered a household. Families consume, work and save. They consume to satisfy their necessities, they save for a greater future consumption, they borrow to advance consumption, and they work (sacrificing leisure) to be able to consume. Their income is distributed in consumption, savings, and taxes.

They have a dual role in the economy. On one side, they are consumers, they demand goods and services; and on the other, they own the means of production through which the goods and services are produced.

Firms:

Firms try to maximize their utility (economic benefits) for their shareholders. To achieve this, firms use factors of production (land, labor, and capital) to produce goods and services, creating value and wealth.

They demand labor from families for a salary, also they employ capital (machines, vehicles, computers, etc) in exchange for interest, and land for rent. Finally, they offer goods and services for the families, other firms or the government.

Government:

Governments provide most of the rules for how the rest of economic agents should interact. They offer goods and services (mostly public goods and services like roads or national security) through national companies or in association with private firms.

Governments demand goods from firms and labor from families. But also, they tax them based on its income, profits, wealth, etc.

They can regulate prices, limit or prohibit the consumption of certain goods, create tariffs, to imports, incentivize production, etc. Finally, they distribute the wealth through social services in education, health and poverty programs.

Foreign Sector:

The foreign sector includes anything and everything that lies beyond the borders of a nation. Foreign trade plays an important role in Domestic Economy. The domestic household, business, and government sectors purchase imports produced in the foreign sector. The foreign sector buys exports produced by the domestic business sector.